

advised me years ago, when I first started buying stocks. "Bank on the trends and don't worry about the tremors. Keep your mind on the long-term cycles and ignore the sporadic ups and downs . . ."

Get-rich-quick schemes just don't work. If they did, then everyone on the face of the earth would be a millionaire.

Great numbers of people who purchase stocks seem unable to grasp these simple principles. They do not buy when prices are low. They are fearful of bargains. They wait until a stock goes up—and up—and then buy because they feel they are thus getting in on a sure thing. Very often, they buy too late—just before a stock has reached one of its peaks. Then they get caught and suffer losses when the price breaks even a few points. . . .

History shows that the overall trend of stock prices—like the overall trends of living costs, wages and almost everything else—is up. Naturally there have been and always will be dips, slumps, recessions and even depressions, but these are invariably followed by recoveries which carry most stock prices to new highs. Assuming that a stock and the company behind it are sound, an investor can hardly lose if he buys shares at the bottom and holds them until the inevitable upward cycle gets well under way.

Withal, the wise investor realizes that it is no longer possible to consider the stock market as a whole. Today's stock market is far too vast and complex for anyone to make sweeping generalized predictions about the course the market as such will follow.

It is necessary to view the present-day stock market in terms of groups of stocks, but it is not enough merely to classify them as, say, industrials or aircrafts, and so on. This is an